Ownership, Control and Governance

Week 7: M&A

February 24, 2026

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Why does ownership matter?

- ***Ownership matters*** because it affects how companies are controlled & governed and their performance. Some examples:

- Performance of family controlled companies is not the same as those companies with fragmented ownership.
- Private equity ownership has historically outperformed stock market indices?
- Announcements of stakes by activists like Elliott Partners or Cevian Capital trigger a 5% increase in the target.

- In each of these cases the form of ownership seems to matter!

Outline

1. Landscape of ownership of companies: across the world

2. Cash flow rights versus voting rights e.g dual class shares: implications for corporate governance

3. Examples of bad governance

4. The role of investor protection in stock markets: A law and finance view

1. Landscape of Ownership

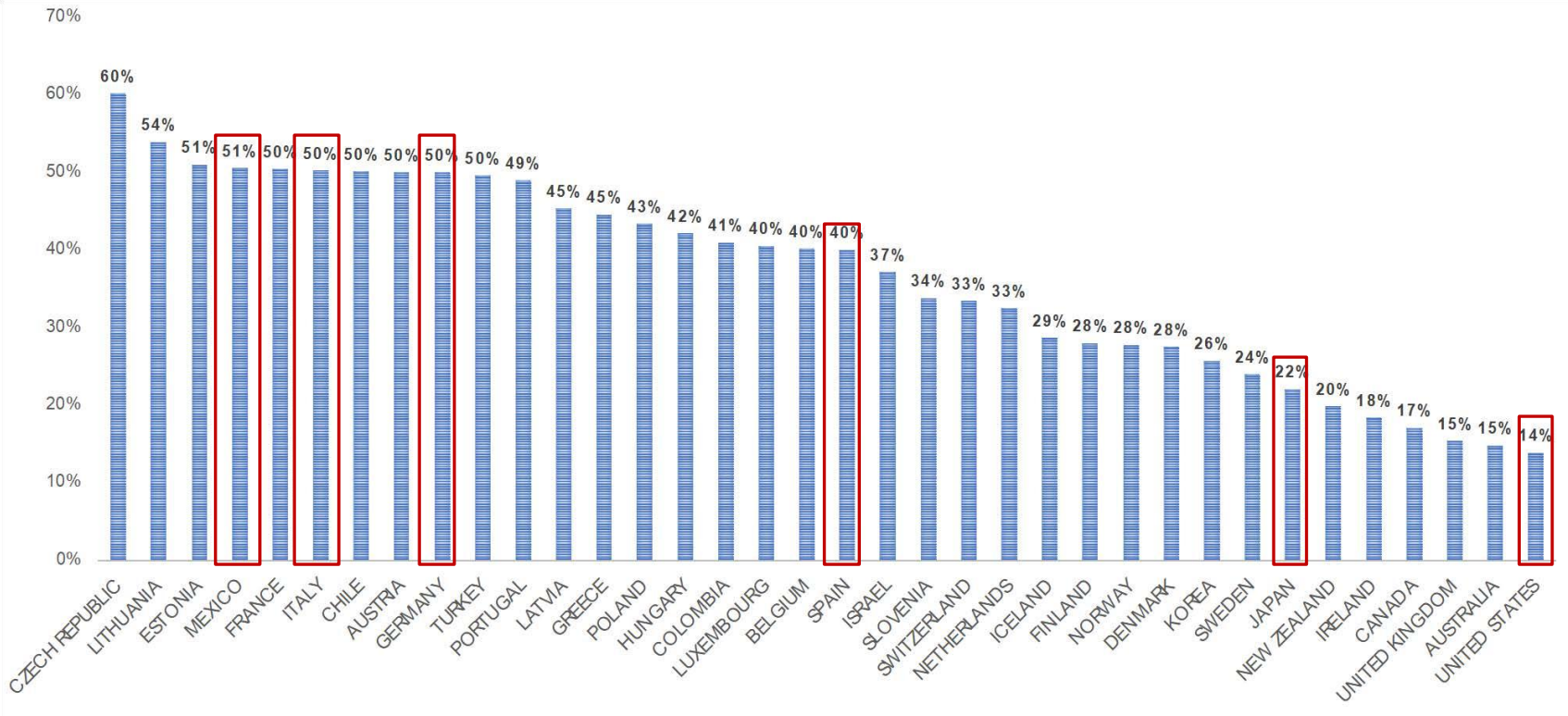
4

Listed Firms are a minority of the top 1000 largest Firms

(ranked by sales turnover)

Frequency of Listed Firms among Largest 1,000				
	Germany	France	U.K.	Italy
Listed firms, % all firms	14.5	13.6	27.8	8.4

In Most Countries Ownership Is Concentrated

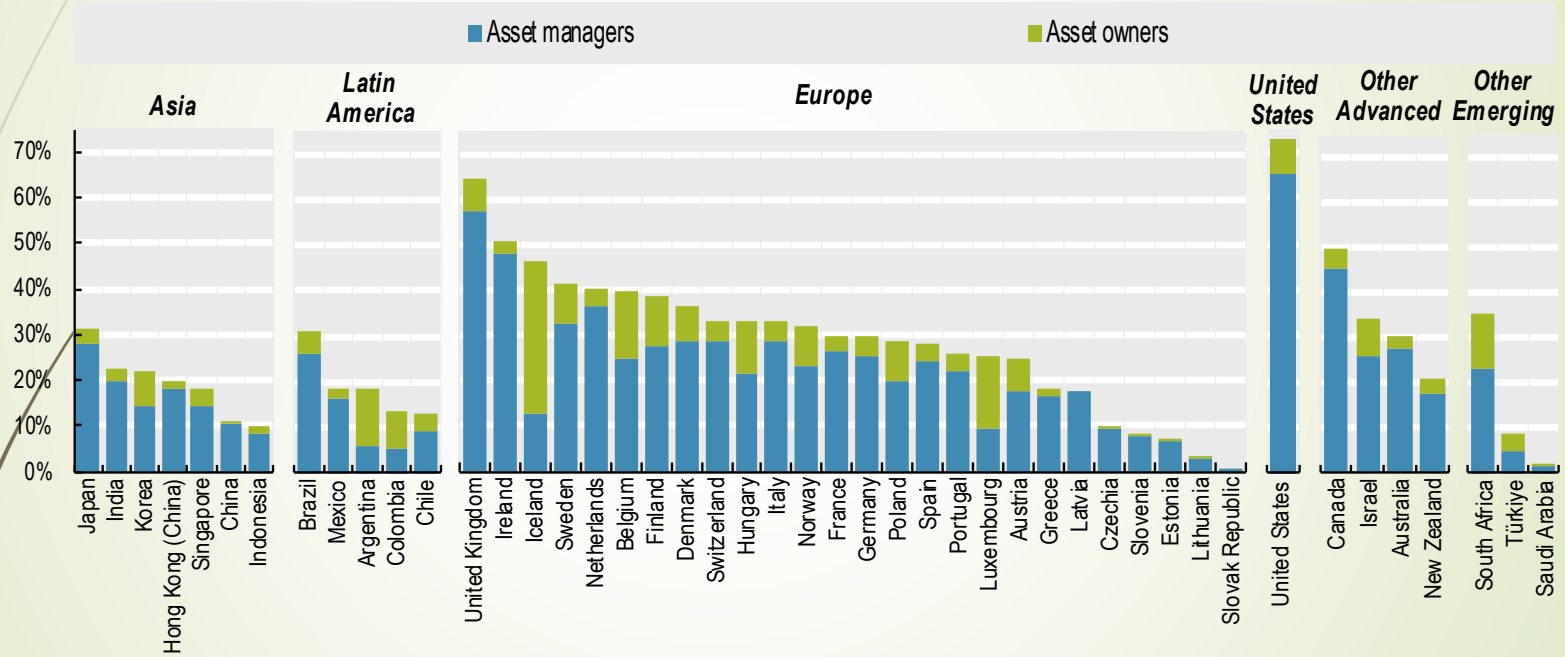


OECD countries' ownership concentration.

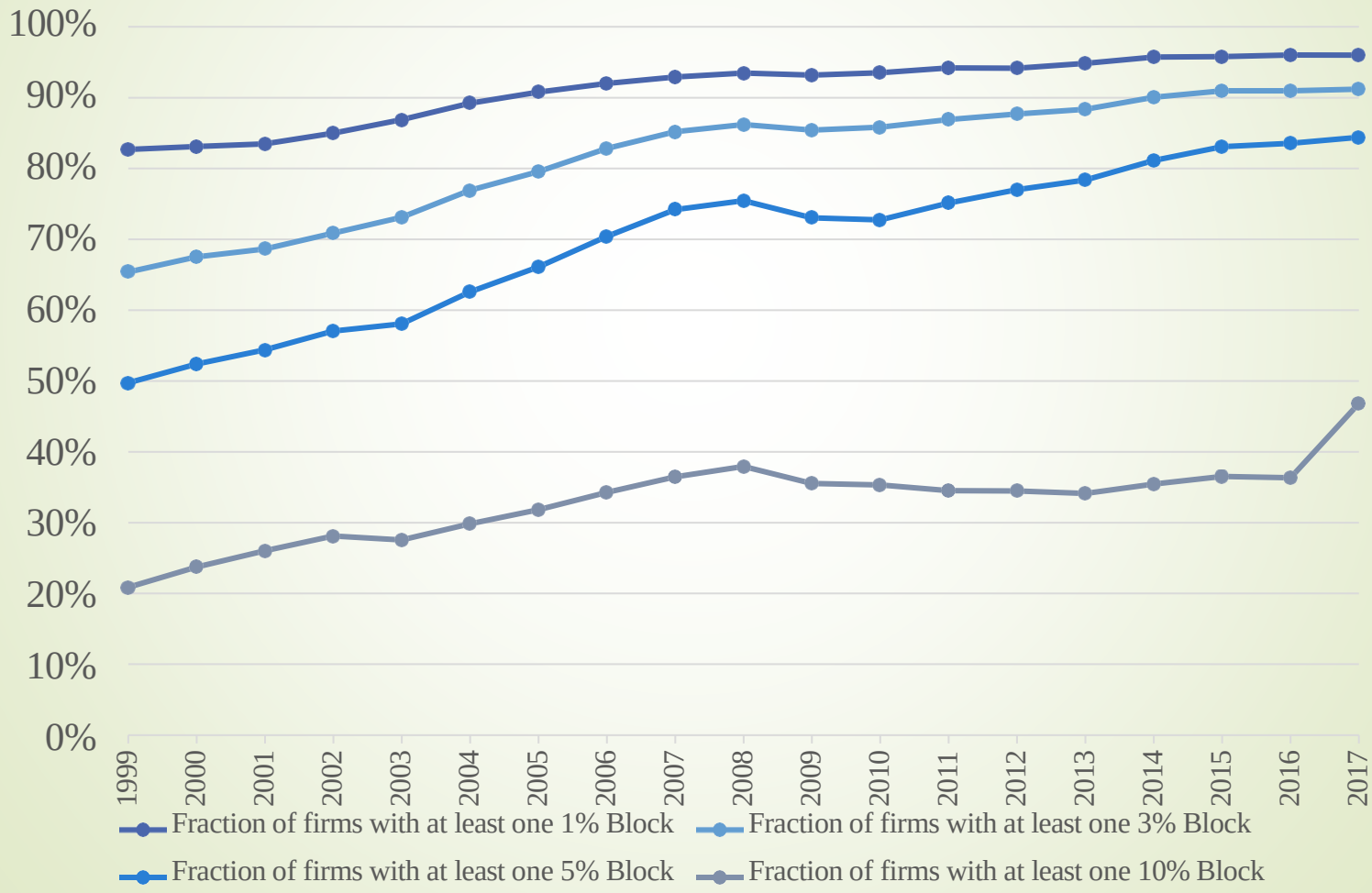
Cumulative (median) percentage of shares held by the 3 largest shareholders by country

. Data source: Bureau van Dijk Orbis database.

Public equity holdings of asset managers and asset owner institutions in 2022

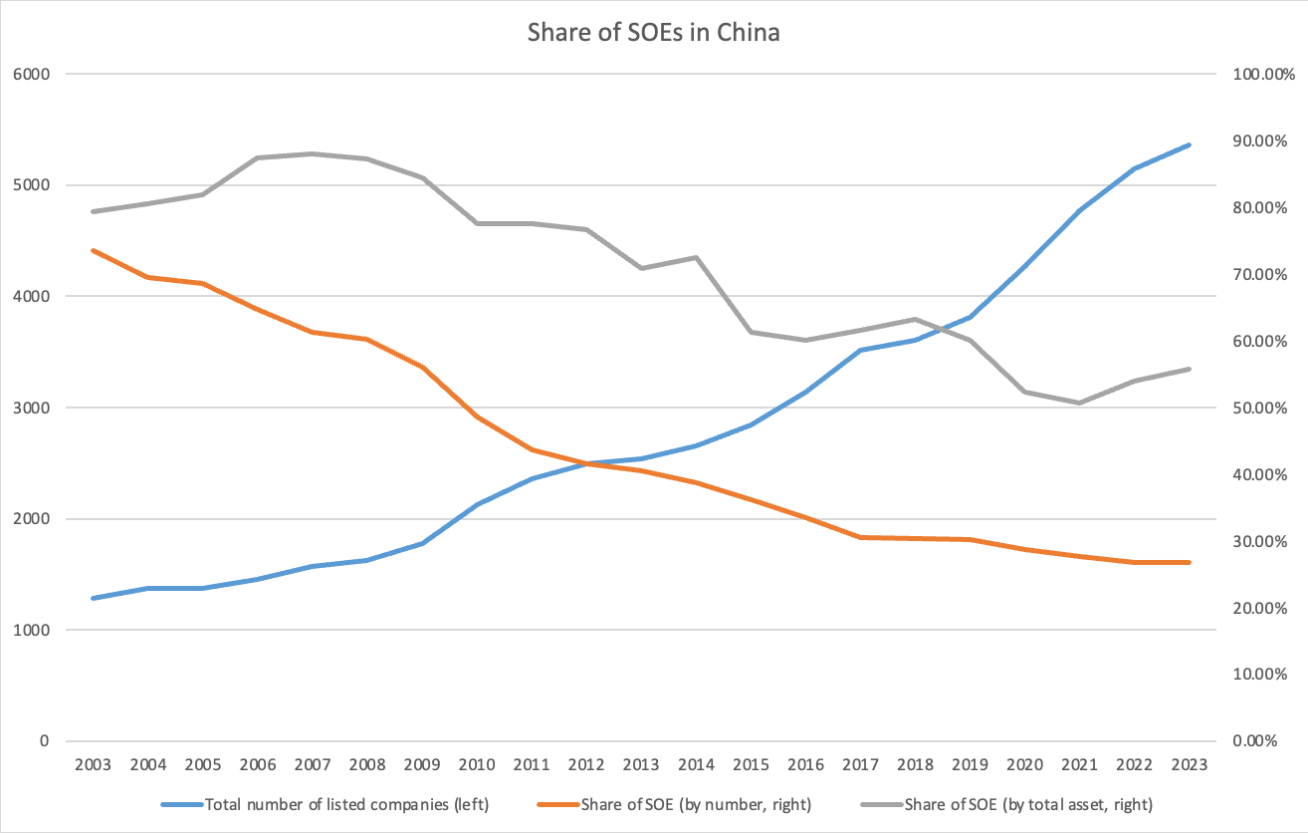


Even in US concentration of share ownership is increasing



Dasgupta, Fos, Sautner

Proportion & number of listed Chinese companies that have a State shareholder (SOEs-state owned enterprise)

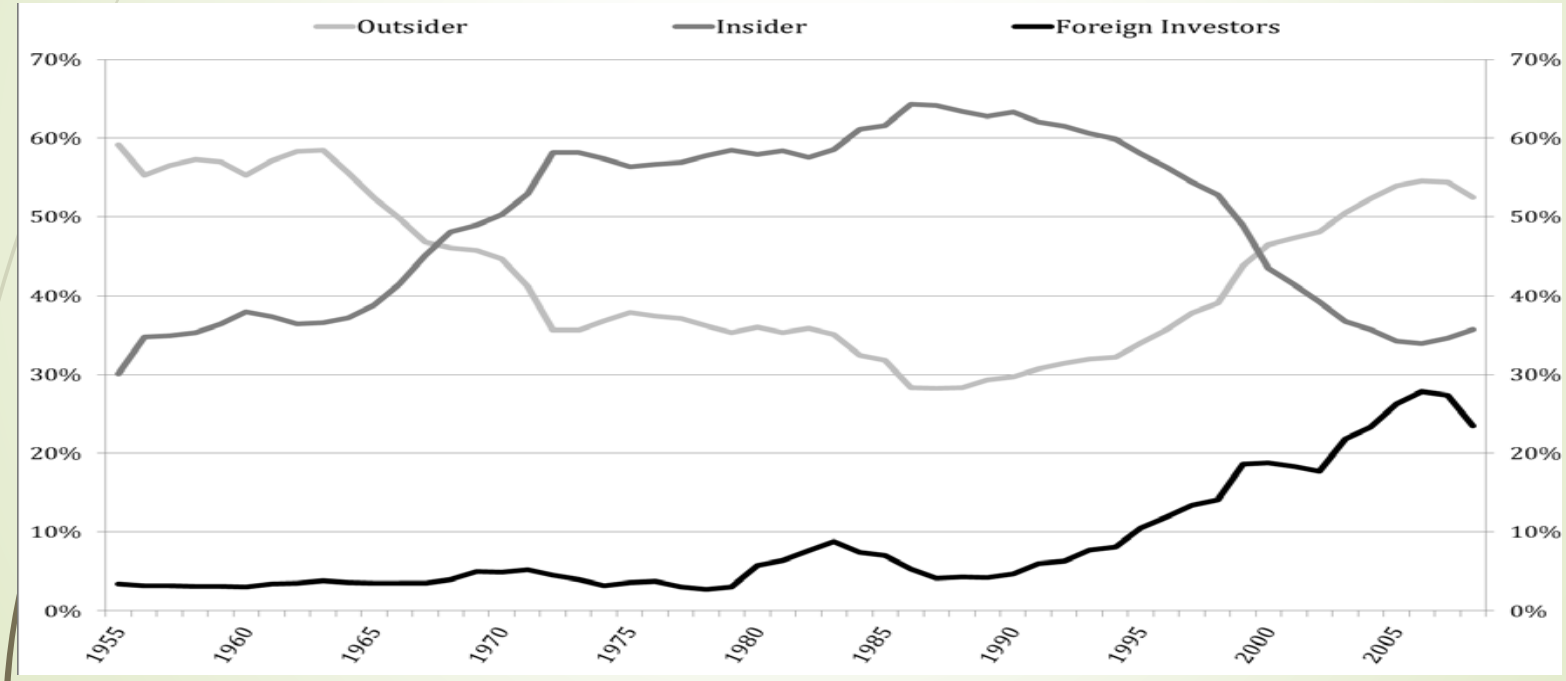


Case Example: PetroChina

- PetroChina, one of the largest oil and gas companies in the world, is publicly listed in **Shanghai (SSE)** and **Hong Kong (HKEX)** but remains **majority state-owned by China National Petroleum Corporation (CNPC)**.
- **Ownership Structure:**
  - **CNPC (State-Owned Entity)** holds **over 80% of shares**.
  - **Public shareholders** hold the remaining shares.
- **Impact of State Ownership:**
  - Provides financial stability due to government backing.
  - But may limit decision-making flexibility, delay restructuring, less innovation?

Japan is different:

Low level of family ownership but high levels of insider ownership although declining **(insiders**: corporations, banks, insurance companies, management & families**). Outsiders: (**individuals, mutual funds, pension funds) But families still on boards eg Toyota, Suzuki



11

In most countries family control is the norm (except for UK, Japan, US)

- Aminadav & Papaioannou (2019): in 85 countries 46% of firms are family controlled where control is > 20% of voting rights,
- Claessens et al (2000): in 9 Asian countries 41% are family controlled with 20% threshold
- Faccio & Lang (2002): in 13 European countries 56% family controlled with 20% threshold,
- Villlalonga & Amit (2009): in US 55% of firms family controlled, but loose definition, family owns 5% or family member a director

FT headline: DNA vs MBA What is so special about families?

Owners not agents. Long term investors, not short termist.

But they can consume 'perks' often called 'private benefits' of control & legal disputes between family members

→ Trade off between agency costs & private benefits!

→ Agency costs of dispersed ownership: max size not profits, managerial entrenchment, perks e.g. excessive use of corporate jets. Large costs evidenced by premiums in PE deals.

→ Private benefits of family ownership: avoids agency costs but permits family succession, can avoid discipline of the market for corporate control. Long, legally intense & dramatic succession battle for Rupert Murdochs' media empire (see 'Succession'): gave control to Lachlan & limited power of other children to

Case Study of disagreements in the family: Fiat

- **Background:**
- The **Agnelli family** controls the holding company behind Fiat (now Stellantis).
- **Gianni Agnelli** turned Fiat into a global giant, passed away in **2003**.
- His daughter, **Margherita Agnelli**, renounced her inheritance in 2004 in favor of her children by her first marriage.
- **A 20 year old dispute:**
- Margherita **challenges past (2004) inheritance arrangements**, arguing she was misled & her children by her 2 nd marriage disadvantaged.
- Claims of **hidden assets and tax fraud** emerged. Italian court seizes **€75 million** from Gianni Agnelli's heirs because of hidden assets & failure to pay taxes

Fiat's Agnelli heirs face €75m seizure in inheritance and tax dispute

Summary

- Japan, US and UK relatively dispersed ownership
- Other countries have concentrated ownership mostly families
- Japan has > insider ownership (banks, other corporates) than UK or US but it is declining (foreign ownership is increasing).
- China has seen rise of family ownership and the *relative* decline of the State
- Why does it matter? less concentrated ownership more outsider ownership, leads to more takeover activity, shareholder activism, & private equity.

Which form of ownership is better?

Which is preferable? Companies with controlling shareholders or dispersed shareholdings?

16

Summary: Two Types of Market Failures in stock markets

- Agency costs – no controlling shareholder means there is a separation of management & ownership. Leads to management control. Management may care less about shareholder value. Common in markets with dispersed ownership
- Private benefits – where there is a large shareholder divergence of interest between large and small minority shareholders. Common in markets with concentrated ownership.
- Which is greater agency costs or private benefits?

It depends! How much can regulation curb agency costs and private benefits?

- Reducing Agency Costs through better governance
- Improve board effectiveness. Some countries have 2 tier boards, supervisory board with only independent directors & executive board e.g. Germany. US & UK have single (unitary) boards with both executive & outside directors
- Most countries require outside directors. UK requires Chair of Board to be non executive and independent; not in US.
- Usually boards nominate directors, but in Sweden outside shareholders nominate
- Markets with dispersed ownership rely have markets for corporate control (e.g. hostile takeovers), shareholder activism to discipline management

How to reduce Private Benefits of control

- Require both disclosure of 'related party transactions' (RPT) and shareholder approval. RPTs involve contracts between listed company & private companies controlled by directors or controlling shareholders. They should be based on 'arms length' principle. EU requires disclosure & shareholder approval or that of supervisory board,

- Allow shareholder lawsuits against directors for breaching fiduciary (legal) duty to shareholders, broaden definition of 'fraud'

- Appointment of non exec directors. Made responsible for appointing CEO and Chair. Does it work? Murdoch family and succession.

Asos sold a 75% stake in **Topshop & Topman** to **Heartland**

- Anders Holch Povlsen is Asos's largest shareholder (26.3%) Danish billionaire
- Heartland is a company controlled by Povlsen family, so sale makes it a Related Party Transaction
- Issue: Alternative buyers (Shein & Authentic Brands Group) reportedly made higher bids → Asos still chose Heartland.
- Requires approval by independent directors

Asos hives off 75% stake in Topshop and Topman to Danish firm Heartland | The Standard

2. Special forms of control. Dual class shares

21

Even when voting and non-voting shares have identical cash flows rights, voting shares can sell at a premium. Why?

Large voting premiums because of private benefits of control: in Italy was 29% (Nenova, 2003) Lower today because of investor protection.

South Korea	48%
Mexico	36%
Italy	29%
France	28%
Chile	23%
Brazil	23%

Germany	10%
UK	10%
US	2%

In some countries voting shares do not trade at a premium to non-voting shares. Why?

Voting Premia (Nenova, 2003)

Sweden	1%
Denmark	1%
Finland	0%

Where voting shares trade at a premium, sales of share blocks command a large premium compared with posted prices for smaller trades (Dyck & Zingales, 2004)

South Korea	17%
Mexico	47%
Italy	16%
France	1%
Chile	15%
Brazil	49%

Germany	11%
UK	0%
US	2%

Small block premia in Scandinavian countries

Block Premia (Dyck & Zingales, 2004)

Sweden	2%
Denmark	4%
Finland	1%

Many US companies have (had) dual class shares

- Alphabet (Google): Class A common stock one vote per share

  Class B 10 votes per share

  Larry Page, Sergey Brin and Eric Schmidt own 51% of votes;

- SNAP: 2 founders, Murphy & Spiegel own 95.8% of voting rights. Rest owned by other pre-IPO owners
- 2 Tier voting structures inFacebook, New York Times company, Berkshire Hathaway and Ford.

Why has the UK recently allowed dual class shares on its main market?

- Traditionally UK disliked dual class shares. Based on principle of ‘level playing field’ and ‘fair play’’. More rooted in the rules of cricket, and less on economic efficiency.
- In 2021 London Stock Exchange changed rules to allow listing of non voting shares on the premium market, because of loss of market share in IPO market.

3. Why governance matters: some case examples

Case Study 1: valuation of damages for governance failures

- Russian company with a controlling shareholder was sued by another shareholder for governance failures.
- History: Family shareholder sold its company (A) to another company (B) with a controlling shareholder. 'A' received shares in exchange plus a veto right over board decisions, but when it exercised its veto, its was ignored. 'A' sued 'B' for damages! Shares of 'B' were listed.
- Question: What would 'A' have received if it had not had a veto?
- If you were acting for 'A', what evidence in this lecture would help you to assess damages?
- How would your answer be affected if the shares were traded on say NASDAQ, Hong Kong instead of Moscow?

Case Study 2: Swiss Company taken private by large controlling shareholder

- Swiss energy company with a controlling shareholder owning large majority of shares makes tender offer to take company private. It already owns 80%+ of shares
- Obtains >90% acceptances
- Uses squeeze out rule (90%) to acquire remainder.
- Minority investor (activist) appeals to court for independent valuation. Ongoing…
- Large number of disputes in Hong Kong arising from companies taken private by the controlling shareholder and then relisted on China's stock markets. Minority investors object to the bid price. Settled by arbitration.

4. The role of investor protection in stock markets: A law and finance view

The role of regulation in investor protections: A Law and Finance view

- The Law and Finance view is that high investor protection is made easier in a country with an English common law system.

- Historically, US and UK capital markets are (were) bigger and lower cost because of their legal system.

- Common law is more flexible because it does not rely exclusively on statute but on judges and case law. In effect judges develop the legal system to protect investors. Allows judges to protect minority rights based upon principles of fairness.

- Traditionally, judges in other legal systems have to rely on statute which means they find it more difficult to adapt the law to the interests of minority investors.

Measuring shareholder rights: La Porta et al.

- How to measure investor protection?
- They use an index of anti-directors rights as a proxy for investor protection.
- There are six anti-directors rights; index runs from 0-6.
- The higher the index the better is governance. As a result, small shareholders feel more protected against bad boards. As a result, share ownership is more dispersed and the larger (more successful?) the capital markets.
- The lower the index the more concentrated is ownership because small shareholders don't want to hold shares in the stock market for fear of being 'ripped off' because of private benefits of controlling shareholders

Anti-Directors Index: 6 components

1. Shareholders can mail proxies.
2. Shareholder ownership need not be registered prior to shareholder meetings (EGM).
3. Minimum % of capital to call an EGM is less than or = to 10%.
4. Shareholders have pre-emptive rights in new issues.
5. Judicial review to hear cases when minority shareholders feel oppressed Minority goes to a judge to intervene.
6. Proportional representation of minorities on the board.

→ Why are pre-emptive rights so important to investor protection?

UK & US = 5 (English origin = 4)
France = 3 (French origin = 2.33) Germany = 1 (German origin = 2.33) Scandinavian origin = 3

Results for Director Rights & Creditor Rights Scores

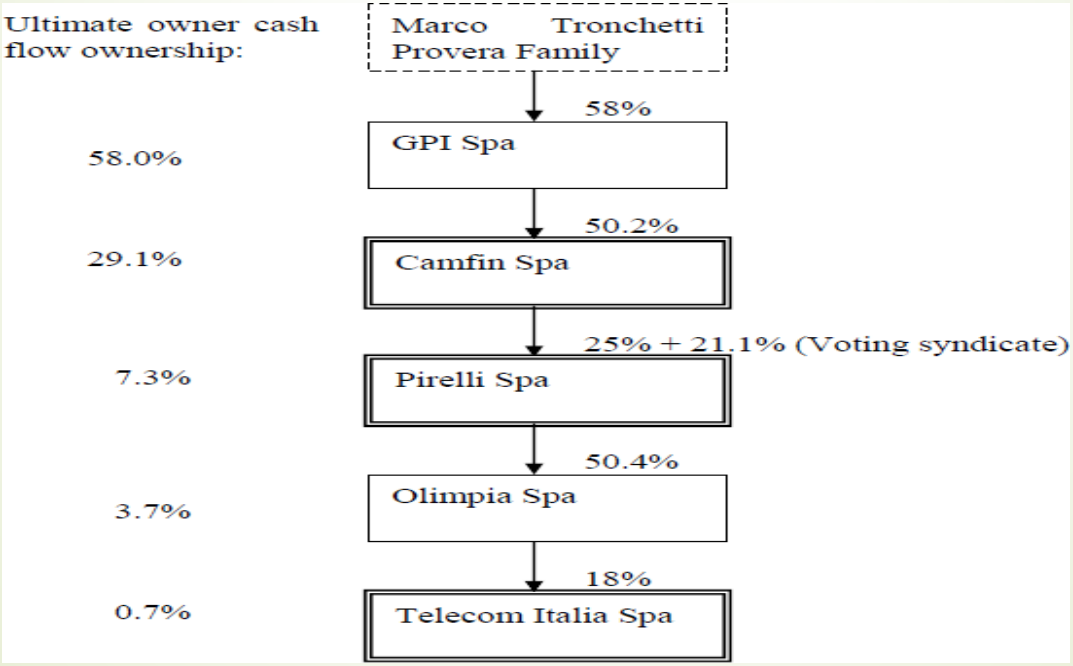
- High concentration of ownership in countries where the legal system relies on statute or civil laws. Those countries have low directors rights' score.
- In contrast, countries with English speaking origins will have low ownership concentration, high anti directors rights. High levels of investor protection allow small investors to take stakes knowing that their rights will be protected.
- La Porta et al find a connection between the performance of capital markets and investor protection.
- How have countries which rely on statute law responded: China, Japan and EU. have enshrined UK governance code into law. They have copied protections in Anglo American stock markets.

Summary

- Most stock markets are dominated by families: exceptions UK, Japan & US
- In dispersed stock markets, separation of ownership and control gives rise to high agency costs & low level of private benefits (no large controlling blockholders)
- Family control has no agency costs because there is little or no separation of ownership & control but private benefits
- Which is better, concentrated ownership or dispersed ownership?
- Law & Finance view says dispersed ownership because of minority protection. Concentrated ownership is a sign that minorities are being ripped off.
- Countries with concentrated ownership reduce private benefits by adopting UK style investor protection, e.g. Japan, China, Hong Kong & EU
- Countries with dispersed ownership have tried to reduce agency costs by encouraging shareholder activism and more independent boards.
- Who has won the 'horse race'?

Appendix:

Pyramids as an alternative to dual class shares: Tronchetti owned 0.7% of cash flow rights in Telecom Italia but exercised significant control. through the pyramid. Now dismantled.



Source: Volpin and Enriques. (2003)